



HUDCO's Comments on Draft MoU FY2026-27 (issued by DPE)

Realignment and Moderation of MoU Targets for FY 2026-27 in Light of Evolving Macroeconomic Realities and Business Model Realities

HUDCO enters FY 2026-27 with a deep sense of institutional optimism and a demonstrated commitment to outperforming its historic growth trajectory. In FY 2025-26, HUDCO achieved its highest-ever loan sanctions of ₹1,64,757 crore (marking a robust growth of 29% over the previous year) and disbursements of ₹51,194 crore (a growth of 28%). It is precisely from this solid baseline of financial credibility, disciplined execution, and a proven track record as a Navratna CPSE that we submit this request for kind consideration.

On examining in detail, the Draft MoU FY2026-27 issued by DPE, it is requested that the targets for 6 out of the 12 MoU parameters may be moderated. We have built up reasonable justifications for reviewing the parameters and it is submitted that this request may not be construed as a dilution of corporate aspiration. Rather, it is an essential calibration necessitated by an **exceptionally challenging and highly uncertain global macroeconomic environment, alongside a confluence of geopolitical, fiscal, and financial pressures.**

1. The Altered Global Landscape & Escalated Geopolitical Risks

The escalation of geopolitical conflicts in West Asia has induced unprecedented volatility in global energy markets. The resulting spike in crude oil prices, coupled with the subsequent depreciation of the Indian Rupee, has injected severe imported inflationary pressures into the domestic economy and altered India's macro-fiscal calculus in a span of weeks. **These are not routine operational risks but external, structural shocks entirely beyond the control of management,** which directly impact project implementation and long-term infrastructure investment decisions.

2. Impact of Severe National Austerity Measures

India cannot remain insulated from the global shocks and as a response to tackle the impact on the economy, business, capital market, **a series of austerity measures have been announced by the Hon'ble Prime Minister, the Ministry of Finance, and the RBI to stabilize the macroeconomy.** At present, these stringent austerity directives are regarding rationalizing discretionary spend, freezing administrative outlays but in case, the conflict situation continues, then there may be a cut in capex to take care of more essential expenditures to stabilise the economy and this may indicate a decline in HUDCO's business opportunities.

3. Downward Revision of GDP Projections

The wider macroeconomic fallout is reflected in the **reduced GDP growth forecasts issued by prominent multilateral and domestic agencies for FY 2026-27.** The World Bank has moderated its growth projection to 6.6%, the OECD has placed it at 6.3%

(explicitly citing inflation-led dampening of private consumption and slowing investment), and the Reserve Bank of India (RBI) has projected growth at 6.6% - a stark contrast to the estimated 7.4% growth in FY25.

GDP growth translates directly into the actual fiscal health of State Governments, Urban Local Bodies (ULBs) and State Housing Boards which are HUDCO's main borrowers. When economic growth decelerates, state revenues underperform, fiscal deficits widen and public sector parastatals may experience a constricted capacity to borrow and deploy capital for long-term urban infrastructure projects, unless backed by a corresponding fiscal policy by the government to stimulate the economy.

4. Hardening of Interest Rates and Compressed Margins

In response to persistent inflationary threats, the RBI maintained its 'neutral' stance and held the repo rate at 5.25% in its June 5, 2026 meeting, specifically pointing to the ongoing geopolitical conflicts as a threat to growth. If the inflation rises further, then RBI may respond by increasing the interest rates and it may exert **upward pressure on domestic bond yields like G-Sec Yield and commercial borrowing costs**. As an NBFC-IFC, higher borrowing costs directly impact HUDCO's cost of funds. Due to escalating borrowing costs in the capital markets, our spreads are being squeezed, impacting profitability metrics despite our optimal debt-sourcing strategies.

5. FRBM Constraints and the Asymmetry of Lending Markets

Crucially, as State Governments simultaneously approach their Fiscal Responsibility and Budget Management (FRBM) borrowing limits, their legal and structural capacity to take on fresh debt has become severely constrained. This has led to an **asymmetric market dynamic: while credit supply remains available in the banking sector, the domestic demand for high-value infrastructure loans from state entities has turned highly price-sensitive and subdued**.

Because our target borrowers are pushing against both national austerity mandates and rigid FRBM caps, **HUDCO possesses virtually zero manoeuvrability to raise its lending rates** or pass on incremental funding costs without completely destroying loan demand. Pushing for higher yields to meet rigid profit targets would effectively price HUDCO out of the state parastatal market, leaving vital urban projects unviable.

6. Realities of the HUDCO Business Model & Institutional Mandate

We respectfully submit that commercial profitability indicators, such as EBTDA, Return on Net Worth and Asset Turnover Ratio (ATR), must be viewed through a developmental lens explained below:

6.1. Social Inclusivity Over Aggressive Yields: Over 95% of the 20 million houses financed by HUDCO cater to the EWS and LIG segments of society. In urban infrastructure, it lends to core infra sectors like water supply, sewerage etc. which have

low returns - high risk profile. HUDCO actively balances financial sustainability with the ethos of 'profitability with social justice'.

6.2. Thin Spread by Design: HUDCO extends low-cost, long-tenure financing to critical city-level infrastructure. Our primary borrowers are State Parastatals and ULBs that operate with strict budget constraints and have access to low-cost alternatives like State Development Loans (SDLs). To remain competitive and accessible, HUDCO operates on razor-thin margins by design.

6.3. National Flagship Alignment: HUDCO serves as a Central Nodal Agency (CNA) and provides critical counterpart funding, appraisal, and consultancy for the Government's flagship programs like PMAY, driving the vision of 'Viksit Bharat@2047'. Maximizing conventional accounting ratios is often structurally incompatible with delivering these softer, highly competitive lending terms (such as front-end fee waivers for EWS/LIG projects).

Conclusion

HUDCO remains steadfastly aligned with national priorities. However, achieving high, financial MoU targets in an environment defined by hardened credit costs and compressed state borrowing capacities risks creating a distortion between commercial metrics and our core social mandate becomes difficult.

In light of the prevailing unprecedented economic headwinds, the strict FRBM caps binding our primary borrowers, and the structural realities outlined above, it is earnestly requested that the DPE may consider a pragmatic moderation of 6 out of the 12 MoU parameters, as contained in the Draft MoU FY2026-27. The detailed parameter-wise Comments have been placed at **Annexure-I**, along with the calculations and projections (**Annexure-A & B**) that have been proposed by HUDCO looking at the macroeconomic and business realities.

Annexure-I

HUDCO's Comments on Draft MoU FY2026-27 issued by DPE

S. No	Parameter Name	Unit	Weightage	Actuals for 2025-26	Target Value-DPE	CPSE Projection	CPSE Remarks
1	Revenue from Operations	₹ Crore	15	13150.4	17002	15090	(1)Target that would be fixed for the main financial parameter i.e. 'Revenue from Operations' will impact all other financial ratios as well. (2)Target of Rs.17,002 crore proposed by DPE for FY2026-27 is a substantial increase of 37% over base year's (FY2025-26) target of Rs.12,420 crore and 29% increase over base year's (FY2025-26) achievement of Rs.13,150.40 crore. (3)Ministry's Vision that was submitted in February,2026 had proposed Revenue from Operations of Rs.15456.37 crore for FY2026-27. (4)Revenue from Operations of Rs.15090 crore that is being proposed for FY26-27 is based on disbursements, which are proposed to be increased from Rs.51,000 in FY2025-26 to Rs.55,000 crore in FY2026-27, which is an increase of 8% ,which is quite reasonable given the evolving economic backdrop in light of the US-Iran Conflict . Average lending Rate of interest is assumed @8.75%. It is, therefore, proposed that the target for FY2026-27 may be benchmarked against the actual achievement of base year (FY2025-26), which is Rs.13,150.40 crore and may be fixed at Rs.15090 crore, which is an increase of 15%, instead of DPE proposed target of Rs.17002 crore, which is an increase of 29% as it is a very tough target to achieve against the global and domestic macroeconomic scenario that is prevailing.
2	Loan Disbursed to Total Fund Available	%	10	100	100	100	HUDCO agrees with the target of 100% proposed by DPE.
3	Overdue Loans to Total Loans	%	10	1.51	1.51	1.70	(1)Overdue loans is projected to increase from Rs.2409.41 crore (25-26) to Rs.3243.60 crore (26-27) (an increase of 34.6%) and with a Total loan (net) of Rs.190799.95 crore projected for FY26-27,this ratio works out to 1.70%. (2)Total loans (net) have been projected at a growth rate of 20% over previous year's achievement of Rs.159136 crore. It is therefore requested to moderate the target from 1.51% to 1.70% in FY2026-27.
4	NPA to Total Loans	%	10	0.05	0.05	0.05	HUDCO agrees with the target of 0.05% proposed by DPE.

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S. No	Parameter Name	Unit	Weightage	Actuals for 2025-26	Target Value-DPE	CPSE Projection	CPSE Remarks
5	Cost of Raising funds through bonds as compared to similarly rated CPSEs	BPS	8	-8.2	-8.2	-8.2	HUDCO agrees with the target of (-) 8.20 bps proposed by DPE.
6	Block for Admin Ministry Priorities		5	New Parameter added w.e.f. FY 26-27	Targets are being examined and finalised by Ministry of Housing & Urban Affairs (MoHUA) and shall be submitted shortly.		
7	EBTDA (% of Total Income)	%	8	24.27	35.9	20	(1) Target fixed by DPE is same as base year's (FY2025-26) target, which is 35.9%; (2) Actual achievement of base year (FY2025-26) is only 24.27% (beyond CPSE's control as the war situation led to one -time event of Forex Loss of Rs. 955.25 crore pulling down the PBT) (3) The proposed target for FY26-27 as per Ministry's Vision is higher than our actuals for 2025-26 i.e 25.54% (4) It is submitted that to realize any increase in EBTDA (Earning Before Tax Depreciation, Amortization), lending rates would need to be increased which is not possible due to current competitive interest rate regime especially, the increasing competition being posed by the banks; (5) Further, HUDCO's lending for Gol programmes such as PMAY, AMRUT, JJM, etc. is done on softer interest rates, being social sector schemes and this is already impacting the margins; (6) For supporting Gol's vision of Viksit Bharat@2047 through creation of sustainable and resilient Infrastructure projects as well as new Gol programmes like Urban Challenge Fund, the lending rates need to be competitive.

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S. No	Parameter Name	Unit	Weightage	Actuals for 2025-26	Target Value-DPE	CPSE Projection	CPSE Remarks
							In view of these reasons, it is proposed that the target of 35.90% is very high and hence it is requested that it may be moderated and fixed at 20.00%, which is a ratio arrived at by projecting the individual components such as PBT, Other Income and Depreciation & Amortisation. (i) PBT has been decreased from Rs.3221.44 crore (25-26) to Rs.3061.33 crore (26-27) – a decrease of 5%. This is due to the increase in the finance cost on account of present geopolitical situation and market volatility which is expected to increase further. Average borrowing Rate of interest taken 7.25% and Borrowing as % of Lending 88.60% (ii) Other Income – In FY2025-26, Other Income of Rs.176.73 crore majorly consisted of long pending recovery of Income Tax of Rs.113.70 Crore. For FY2026-27, Other Income has been projected at realistic level of Rs.60 crore only.
8	Return on Net Worth	%	10	20.20	20.62	10.70	(1) Achievement of PAT of Rs.4034.37 crore during FY2025-26 consists of one time event of reversal of DTL on Special Reserve of Rs. 1800 crore (24-25 achievement was Rs.2709 crore) (2) This is an outlier which is one time and hence the PAT for FY2026-27 has been projected at a realistic level of Rs.2403.15 crore, which is an increase of 7.55% ,if we compare over previous years achievement of Rs.2234.37 (by excluding the one -time DTL). (3) Average Networth is projected at Rs.22460 crore for FY26-27. It is therefore requested to fix the target at 10.70% (2403.15/22460). In support of this, it may also be seen that trend in achievement of PAT/Avg.NW in the past years has also been in the range of 11%-13% only (Annexure B)

Annexure-I

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S. No	Parameter Name	Unit	Weightage	Actuals for 2025-26	Target Value-DPE	CPSE Projection	CPSE Remarks
9	Return on Capital Employed	%	5	10.25	12.42	9.44	(1) Achievement of Return on Capital Employed for FY2025-26 is 10.25% (2) As against this, DPE has proposed a target of 12.42%. (3) On a projected EBIT of Rs.14728.06 crore and Average Capital Employed of Rs.155959.66 crore, Return on Capital Employed works out to 9.44% only. (4) In order to achieve the DPE proposed ratio of 12.42%, HUDCO would need to earn EBIT of Rs.19370 crore (against our projection of 14728.06 crore) which is a very high jump expected in a year's time. It is therefore requested to moderate the target from 12.42% proposed by DPE to 9.44% for FY2026-27.

Annexure-I

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S. No	Parameter Name	Unit	Weightage	Actuals for 2025-26	Target Value-DPE	CPSE Projection	CPSE Remarks
10	Asset Turnover Ratio	%	4	9.03	10.5	8.31	(1)The target of 10.5% proposed by DPE is much higher compared to base year's (FY2025-26) actuals (9.03%) and also Ministry's Vision for FY 2026-27 of 8.53%; (2)To get a 10.5% Asset Turnover Ratio in FY2026-27, with a projected Average Total Assets of Rs.1,82,287.97 crore (assuming Rs.1,97,736.15 crore of total assets by end of FY2026-27), 'Revenue from Operations' has to reach Rs.19,140 crore in FY2026- 27, which is not possible to achieve in one year's time owing to increasingly competitive interest rate regime, especially the competition being posed by banks (calculations are shown in (Annexure B)) (3)Whereas, the Revenue from Operations is already proposed at Rs.17002 crore by DPE and HUDCO is requesting for Rs.15,090 crore for FY2026-27, which give an Asset Turnover Ratio of just 9.32% and 8.28% respectively (assuming average assets of Rs.1,82,287.97 cr.); (4)To realize any increase in this ratio and to take it to 10.5% as proposed by DPE, either the Total Income has to increase or the denominator, which is total assets has to decrease; (5)The option of increasing the rate of interest to increase the revenue from operation in a competitive interest regime is not possible; (6) The denominator of the ratio i.e. Total Assets cannot be decreased as we have to expand our business; (7) A comparison of this ratio during 2023-24 to 2025-26 with the peers like PFC, REC & IREDA, reveals that they have also been able to achieve this ratio in the range of 8.5% -9.8% (Annexure-B). It is, therefore, proposed that the Asset Turnover Ratio may be fixed for FY2026-27 at 8.31% as against DPE's proposed target of 10.5%.
11	Total Return to Shareholders	%	10	-	100		DPE has indicated - No targets shall be prescribed in advance for these two parameters and they shall be evaluated at the close of the financial year based on achievements against prescribed benchmarks, as per the methodology contained in the MoU Guidelines.
12	Dividend Payout	%	5	-	100		
Total			100				

Annexure- A

HUDCO : MOU DATA-PROJECTIONS

Sl.No.	Parameter	Unit	2025-2026 (Actual)	2026-27 (Projections)
1	Revenue from Operations	Rs.Crores	13,150.40	15,094.36
2	Other Income	Rs.Crores	176.73	60.00
3	PBT	Rs.Crores	3,221.44	3,061.33
4	PAT	Rs.Crores	4,034.37	2,403.15
	Asset turnover ratio	%	7.99%	7.66%
5	Asset turnover ratio (Average)	%	9.03%	8.31%
	Total Income	Rs.Crores	13,327.13	15,154.36
	Total Assets	Rs.Crores	1,66,839.79	1,97,736.15
	Total Assets (Average)		1,47,668.59	1,82,287.97
6	EBDTA as a percentage of Revenue	%	24.27%	20.28%
	EBDTA +Depreciation & Amortisation	Rs.Crores	3,233.97	3,073.33
7	Return on Net Worth	%	20.20%	10.70%
	PAT	Rs.Crores	4,034.37	2,403.15
	Paid up Share Capital	Rs.Crores	2,001.90	2,001.90
	Reserves & Surplus (incl. kfw res)	Rs.Crores	18,533.30	19,499.49
	Perpetual Debt		1,442.00	1,442.00
	Net Worth	Rs.Crores	21,977.20	22,943.39
	Average Net Worth	Rs.Crores	19,973.50	22,460.30
	Return on Capital Employed	%	8.44%	8.77%
8	Return on Capital Employed (Average)	%	10.25%	9.44%
	EBIT = PBT+Finance Cost	Rs.Crores	12,155.45	14,728.06
	Total Borrowings		1,41,677.00	1,70,564.96
	Current Borrowings	Rs.Crores	19,658.49	25,584.74
	Non-Current Borrowings	Rs.Crores	1,22,018.51	1,44,980.22
	Capital employed = Networth+Non-Current Borrowings	Rs.Crores	1,43,995.71	1,67,923.61
	Capital employed (Average)		1,18,634.97	1,55,959.66

Annexure- B

Asset Turnover Ratio - Calculations

	2023-24 (actuals)	2024-25 (actuals)	2025-26 (actuals)	Target proposed by DPE	Revenue from Operations required to meet DPE's proposed target of 10.5%	Target proposed by HUDCO
Total Income		10348.38	13327.13	17002	19147.49655	15154.36
Total Assets	93422.34	128495.65	166839.79	197874.43	197874.43	197736.15
Average Total Assets		110958.995	147667.72	182357.11	182357.11	182357.11
Asset Turnover/Average Total Assets		9.33%	9.03%	9.32%	10.50%	8.31%

Peer Comparison - Trend in Asset Turnover Ratio

Asset Turnover/Average Total Assets	2023-24	2024-25	2025-26
PFC	9.69%	9.80%	9.78%
REC	9.39%	9.71%	9.51%
IREDA	8.78%	9.49%	9.61%
HUDCO	9.12%	9.33%	9.03%

HUDCO: Trend in PAT/Average Net Worth

	2019-2020	2020-21	2021-22	2022-23	2023-24	2024-25	2025-26
Return on Net Worth (PAT/Avg.NW)	14.66%	12.37%	12.41%	11.38%	13.21%	15.67%	20.20%
High values in few years is one time	Change in tax rate applicable from 36.66% to 21.43% increased PAT					Resolution of major NPA Rs 410.5 crore thereby reduction of ECL	Increase in ratio is exceptional due to raising of Perpetual Debt of Rs. 1442 Crore and reversal of DTL on Special Reserve of Rs. 1800 Crore

Context : MoU FY2026-27 : Target-Setting by DPE



A leading Navratna-NBFC-IFC CPSE

**Vision of the
Ministry of
Housing & Urban
Affairs (MoHUA) :**

- (1) The Sector i.e.
housing and
urban
infrastructure
sector**
- (2) HUDCO's role**

Vision of the Ministry of Housing and Urban Affairs (MoHUA) for the Housing and Urban Infrastructure Sector

India's journey towards becoming a developed nation by 2047 will fundamentally be shaped by the success of its urban transformation. Over the next two decades, Indian cities will emerge as the primary centres of economic production, innovation, entrepreneurship, employment generation, capital formation, and technological advancement. Urbanisation is therefore no longer viewed merely as a demographic phenomenon or a challenge of service delivery; it is increasingly recognised as India's most significant economic opportunity and one of the principal drivers of national growth.

The Ministry of Housing and Urban Affairs (MoHUA) envisions an urban India that is productive, inclusive, competitive, resilient, digitally empowered, environmentally sustainable, and financially self-reliant. This vision extends far beyond the traditional mandate of housing and municipal infrastructure. It seeks to transform Indian cities into globally competitive economic ecosystems capable of supporting India's aspiration to become a USD 30 trillion economy and a developed nation under the vision of *Viksit Bharat @2047*.

At the heart of MoHUA's vision lies the recognition that cities are not merely places where people live; they are strategic economic assets that generate wealth, productivity, innovation, investment, and employment. International experience demonstrates that countries achieve developed economy status only when their cities become engines of economic transformation. Accordingly, MoHUA increasingly approaches urban development not as social expenditure but as long-term economic investment. Every investment in housing, water supply, sanitation, mobility, digital infrastructure, and governance reform is viewed through the lens of productivity enhancement, competitiveness improvement, and economic value creation.

As India advances towards 2047, the urban population is expected to approach nearly 50 percent of the national population while contributing close to three-fourths of the country's Gross Domestic Product. This structural transition requires a new generation of urban institutions, financing systems, governance frameworks, and infrastructure investments capable of supporting rapid urban expansion while maintaining quality of life, environmental sustainability, and economic efficiency.

The Ministry's vision is therefore anchored in the creation of productive urban systems that combine world-class infrastructure, efficient governance, affordable housing, climate resilience, technological innovation, and strong municipal institutions. The objective is not merely to accommodate urban growth but to strategically harness urbanisation as a catalyst for national prosperity.

A defining feature of MoHUA's future urban strategy is the emergence of City Economic Regions (CERs) as the fundamental spatial units of economic development. Traditional city-centric planning models are increasingly inadequate in addressing the realities of modern economic geography. Economic activity today transcends municipal boundaries and operates through interconnected labour markets, industrial clusters, logistics networks, commuter regions, educational institutions, and peri-urban growth centres.

Recognising this transformation, MoHUA promotes the development of integrated City Economic Regions that combine core cities with surrounding growth centres, industrial corridors, logistics hubs, manufacturing clusters, satellite towns, and rural hinterlands into unified economic ecosystems. These regional growth systems are expected to become the principal engines of India's future economic expansion by improving logistics efficiency, enhancing labour mobility, reducing congestion costs, attracting private investment, and creating globally competitive urban economies.

The Ministry also recognises that India's future growth cannot be concentrated exclusively within a handful of metropolitan regions. Accordingly, a central pillar of its vision is the emergence of Tier-II and Tier-III cities as the next generation of growth engines. Secondary cities increasingly offer competitive advantages including lower land costs, expanding industrial ecosystems, improved connectivity, growing talent pools, and greater opportunities for planned development. Through targeted infrastructure investments, improved mobility, institutional strengthening, and access to long-term development finance, MoHUA seeks to transform these cities into vibrant centres of manufacturing, logistics, services, innovation, and entrepreneurship. This strategy promotes balanced regional development while reducing excessive pressure on major metropolitan centres.

Housing remains a foundational pillar of the Ministry's vision. However, housing is no longer viewed merely as shelter. It is increasingly recognised as a productive socio-economic asset that enhances labour mobility, financial inclusion, social security, women's empowerment, and urban productivity. Through PMAY-U, PMAY-U 2.0, Affordable Rental Housing Complexes, worker housing initiatives, and innovative financing mechanisms, MoHUA seeks to ensure that every citizen has access to safe, affordable, and dignified housing connected to essential urban services, employment opportunities, mobility networks, healthcare facilities, educational institutions, and digital infrastructure.

The Ministry's housing vision is equally committed to gender-inclusive development. By promoting women-led and joint ownership of housing assets, MoHUA seeks to strengthen financial inclusion, enhance economic security, and support long-term wealth creation among vulnerable households. Simultaneously, initiatives such as the Global Housing Technology Challenge and the adoption of innovative construction technologies seek to create sustainable, disaster-resilient, resource-efficient, and future-ready housing systems.

Beyond housing, MoHUA's vision seeks to build integrated urban infrastructure ecosystems that improve quality of life while enhancing economic competitiveness. Water security, sanitation, sewerage, solid waste management, urban mobility, public transport, digital connectivity, and climate resilience are increasingly viewed as strategic economic infrastructure rather than standalone municipal services.

Through AMRUT 2.0, the Ministry seeks to achieve universal access to drinking water while promoting circular water economies based on wastewater treatment, recycling, reuse, and conservation. Through Swachh Bharat Mission-Urban 2.0, cities are encouraged to adopt scientific waste management, biomining, waste-to-energy systems, resource recovery mechanisms, and circular economy principles that transform waste into productive economic resources.

Urban mobility forms another cornerstone of the Ministry's long-term vision. Investments in Metro Rail, Metro-Lite, Metro-Neo, Regional Rapid Transit Systems, multimodal transport networks, Transit-Oriented Development, and integrated mobility planning seek to create compact, connected, and efficient urban regions. Efficient mobility systems improve productivity, reduce logistics costs, enhance labour market efficiency, lower emissions, and strengthen economic competitiveness.

Digital transformation constitutes one of the most significant pillars of MoHUA's future vision. Through the National Urban Digital Mission, Urban Digital Public Infrastructure, UPYOG, UMEED, National Urban Innovation Stack, and National Urban Learning Platform, the Ministry is creating a unified digital foundation for urban governance across India. These platforms seek to enable seamless citizen services, data-driven planning, improved municipal finance management, predictive infrastructure maintenance, geospatial analytics, artificial intelligence applications, digital twins, and real-time urban management systems. The objective is to create intelligent cities that are responsive, transparent, efficient, and citizen-centric.

Equally transformative is the Ministry's vision for municipal finance and urban governance reform. Sustainable urbanisation cannot be financed through government grants alone. Future cities must become financially empowered institutions capable of mobilising resources independently and attracting long-term investment. Accordingly, MoHUA is promoting a transition from grant-dependent urban development models towards diversified financing frameworks based on municipal bonds, pooled financing mechanisms, land value capture, asset monetisation, blended finance, public-private partnerships, and institutional investment.

The Union Budget 2026-27 further reinforces this transformation through the Urban Challenge Fund, which represents a landmark shift in urban financing philosophy. The Fund seeks to leverage public capital to crowd in private investment, municipal borrowing, and market-based financing for urban infrastructure. This initiative reflects the Ministry's broader vision of creating investment-ready cities capable of financing their own growth and attracting institutional capital at scale.

Complementing these financing reforms is the emerging urban governance agenda articulated through recent NITI Aayog recommendations. The Ministry increasingly recognises that infrastructure investments alone cannot deliver sustainable urban transformation without strong urban institutions. Accordingly, future urban reforms seek to empower Urban Local Bodies through greater functional devolution, enhanced accountability, strengthened municipal finances, improved State Finance Commission frameworks, modern municipal cadres, and increased local decision-making authority.

The NITI Aayog Urban Governance Reform Agenda highlights the importance of empowered city leadership, stronger mayoral systems, city-level accountability for service delivery, improved coordination among urban agencies, and greater administrative control of municipalities over essential civic services. These reforms seek to create city governments that are capable, accountable, responsive, and financially sustainable.

Climate resilience forms another critical dimension of MoHUA's long-term vision. Indian cities increasingly face risks arising from heat stress, flooding, water scarcity, environmental degradation, and climate variability. Accordingly, urban infrastructure investments are being aligned with climate adaptation and mitigation objectives. Renewable energy integration, nature-based solutions, urban water body rejuvenation, green mobility, low-carbon infrastructure, circular economy systems, and resilient urban planning frameworks are being mainstreamed across urban development programmes.

Ultimately, MoHUA's vision is not merely about constructing houses, roads, water networks, or transit systems. It is about building productive urban economies, resilient communities, empowered local governments, competitive regions, sustainable infrastructure systems, and globally benchmarked cities capable of driving India's emergence as a developed nation.

As India approaches the centenary of its independence, the Ministry of Housing and Urban Affairs envisions cities that are economically vibrant, socially inclusive, environmentally sustainable, technologically advanced, financially self-reliant, and institutionally robust. These cities will serve not only as places of habitation but as engines of national prosperity, innovation, opportunity, and resilience.

The success of Viksit Bharat @2047 will ultimately be determined by the success of India's cities. MoHUA's vision is to ensure that these cities are prepared not merely to accommodate the future, but to actively create it.

Vision of the Ministry of Housing and Urban Affairs (MoHUA) for HUDCO

India's journey towards Viksit Bharat @2047 is, at its core, a story of cities finding their true economic identity. It is a transition from viewing urbanisation as a pressure point of governance to recognising it as India's most powerful engine of growth, innovation, and productivity. As the country moves towards a projected urban share of nearly half the population and almost three-fourths of GDP, the question is no longer whether cities will drive India's development, but how effectively they will be enabled to do so. Within this unfolding transformation, the Ministry of Housing and Urban Affairs (MoHUA) has articulated a vision that is both ambitious and structural in nature of cities that are productive, inclusive, climate-resilient, digitally empowered, and financially self-reliant. Yet, between vision and realization lies a far more complex challenge: translating policy intent into investible, executable, and sustainable urban systems.

It is within this space between aspiration and implementation that HUDCO emerges not merely as a financing institution, but as a critical enabler of India's urban transformation architecture. Over the decades, HUDCO has evolved into a techno-financing institution whose role extends far beyond lending. It operates as a bridge between national policy imagination and municipal execution capacity, converting the strategic direction of MoHUA into tangible urban assets, functional infrastructure systems, and strengthened local institutions. In doing so, HUDCO does not simply fund cities; it helps construct the financial and institutional foundations upon which cities themselves can become investment-ready, resilient, and future-oriented.

The MoHUA vision for urban India is increasingly framed around the idea of cities as economic assets rather than administrative units. This conceptual shift is fundamental. Cities are no longer seen as recipients of welfare expenditure but as dynamic systems that generate productivity, capital formation, innovation, and employment. The emergence of City Economic Regions reinforces this understanding, recognising that urban growth today is no longer confined within municipal boundaries but spreads across interconnected geographies of production, mobility, logistics, and labour markets. In this evolving spatial logic, the future of India's urban economy depends on the ability to integrate core cities with their surrounding growth nodes into cohesive economic ecosystems.

HUDCO's financing philosophy is closely aligned with India's ongoing urban transformation. Its interventions in housing and infrastructure are not isolated project-level transactions but part of a broader developmental continuum that enables the emergence of integrated City Economic Regions. Rather than financing stand-alone assets, HUDCO's portfolio reflects a structured emphasis on building the core backbone of urban systems - water supply, sanitation, drainage, and trunk infrastructure—alongside large-scale housing development. In doing so, its investments contribute to strengthening the underlying productivity of cities, reducing logistical and service delivery inefficiencies, and enabling the spatial and economic integration that defines competitive urban regions.

These infrastructure investments therefore go beyond the traditional scope of municipal service delivery. They function as enablers of urban productivity by lowering friction costs in the movement of people, goods, and services, while simultaneously improving the efficiency of urban systems. Over time, this approach supports the evolution of cities into more economically cohesive and investment-ready systems, where infrastructure acts as a catalyst for growth rather than merely a response to demand.

At the same time, HUDCO's housing interventions represent one of the most significant institutional expressions of inclusive urbanisation within India's development framework. Its housing finance approach is anchored in the principle that housing is not merely a social good but a foundational economic asset that shapes labour mobility, financial inclusion, and long-term urban stability. A substantial share of HUDCO's housing support is directed towards economically weaker and lower-income households, reinforcing the broader national objective of equitable urban development.

Within this framework, housing initiatives across economically diverse segments reflect a calibrated effort to balance inclusion with expansion. By enabling access to dignified housing for vulnerable groups while also supporting middle- and higher-income housing segments, HUDCO contributes to a more balanced and socially integrated urban growth model. This approach ensures that urbanisation does not deepen spatial inequality but instead functions as a mechanism for broad-based economic participation. Yet, what distinguishes HUDCO's role in the current phase of India's urban transformation is not only the scale of financing but the nature of institutional evolution it is driving. The emerging policy architecture around municipal finance reform, driven by the 16th Finance Commission and the Urban Challenge Fund, marks a decisive shift towards performance-based, market-linked urban development. Urban Local Bodies are increasingly expected to transition from grant-dependent entities to financially disciplined institutions capable of generating their own revenue, accessing capital markets, and leveraging private investment. However, this transition requires a level of financial sophistication and institutional preparedness that many cities currently lack.

It is here that HUDCO's role as an institutional catalyst becomes central. Through mechanisms such as the Urban Invest Window (UiWIN), HUDCO is actively enabling Urban Local Bodies to move along this transition curve. UiWIN is not merely a financing channel but an integrated institutional platform that supports project preparation, financial structuring, credit enhancement, municipal bond readiness, asset monetisation, and governance reform. By embedding technical teams within municipal ecosystems and working directly with state governments and city administrations, HUDCO is helping transform the very capability architecture of urban governance. The structured 60:40 cost-sharing framework, capped support mechanisms, and end-to-end advisory engagement reflect a deliberate strategy to ensure that cities do not just receive funds, but develop the capacity to mobilise and manage capital independently.

This transformation becomes even more significant in the context of the Urban Challenge Fund, which seeks to mobilise ₹1 lakh crore of central assistance to

catalyse nearly ₹4 lakh crore in total urban investment. The design of this fund, where at least half of the financing is expected from municipal bonds, bank lending, and PPP structures, signals a structural shift in how urban India will be financed in the coming decades. HUDCO's role in this ecosystem is increasingly that of a credit enabler and risk mitigator, helping smaller and emerging cities access financial markets that were previously beyond their reach. In effect, HUDCO is not only financing infrastructure but also enabling the financial sovereignty of cities.

Parallel to this financial transformation is the deep structural change underway in urban service delivery systems. Programs such as AMRUT 2.0, Swachh Bharat Mission -Urban 2.0, and Jal Jeevan Mission are redefining urban infrastructure as circular, resource-efficient, and climate-resilient systems. HUDCO's financing of water supply systems, wastewater recycling, drainage resilience, and solid waste management infrastructure is aligned with this transition towards a circular urban economy. Investments in waste-to-energy, bio-methanation, and water reuse systems reflect a shift from linear consumption models to regenerative urban ecosystems where waste becomes a resource and infrastructure becomes a closed-loop system.

Urban mobility, too, represents a critical dimension of this transformation. The expansion of Metro Rail systems, Metro Neo, Metro Lite, and Regional Rapid Transit Systems reflects an understanding that economic productivity in cities is directly linked to mobility efficiency. HUDCO's support for transit infrastructure, including through the USD 1 Billion Urban Mobility Fund, is aimed at not only financing transport systems but also enabling Transit-Oriented Development models that integrate land use with mobility planning. This creates compact, walkable, and economically dense urban forms where value capture mechanisms can be used to further reinvest in infrastructure expansion.

As India's urbanisation deepens, the importance of Tier-II and Tier-III cities becomes increasingly central. These cities are no longer peripheral nodes but emerging engines of manufacturing, logistics, services, and entrepreneurship. However, their growth trajectories depend critically on access to long-term, patient capital and institutional support. HUDCO's development finance model, with its emphasis on balanced regional urbanisation, positions it uniquely to support these cities. By extending financing to secondary urban centres and supporting their integration into City Economic Regions, HUDCO is actively shaping a more polycentric urban structure for India - one that reduces pressure on metropolitan regions while distributing economic opportunity more evenly across the urban hierarchy.

This entire transformation is underpinned by a deeper institutional philosophy within HUDCO that views development finance as a tool for structural change rather than transactional lending. Its engagement across affordable housing, urban infrastructure, municipal finance, capacity building, project preparation, and credit enhancement reflects a comprehensive mandate that few institutions in India possess. It is this multidimensional capability that allows HUDCO to act as a true growth catalyst for Urban Local Bodies, enabling them to evolve from service delivery agencies into economically empowered urban institutions.

As climate change, demographic pressure, and economic transformation converge on India's urban landscape, the importance of climate-resilient and sustainable

infrastructure becomes paramount. HUDCO's increasing allocation towards green finance, renewable energy, net-zero infrastructure, and circular economy projects reflects this imperative. Investments exceeding ₹20,000 crore in climate-linked projects demonstrate an alignment with ESG principles and a commitment to ensuring that urban growth does not come at the cost of environmental degradation. The integration of green, blue, digital, silver, orange, and circular economy frameworks into urban financing further reinforces the idea that cities are multidimensional systems requiring holistic planning approaches.

Ultimately, what emerges from this evolving landscape is a clear institutional narrative. MoHUA defines the vision of India's urban future as productive, inclusive, resilient, and globally competitive cities under Viksit Bharat @2047. Urban Local Bodies remain the primary executing institutions where this vision must materialise on the ground. **But between vision and execution stands HUDCO, functioning as a catalytic institution that translates policy ambition into financial feasibility, institutional capacity, and physical infrastructure.**

In this role, HUDCO is not merely financing urban India. It is actively shaping the conditions under which urban India can finance itself, govern itself, and grow sustainably. As the country advances towards 2047, the success of its urban transformation will increasingly depend on this triadic relationship between vision, execution, and institutional enablement. Within this framework, HUDCO's position is both distinctive and indispensable as a catalyst for financially empowered cities, an enabler of City Economic Regions, a driver of Tier-II and Tier-III urban growth, and a strategic partner in the realisation of Viksit Bharat @2047.

In essence, while MoHUA charts the roadmap of India's urban future, HUDCO ensures that the journey from blueprint to reality is not only possible but also sustainable, inclusive, and transformative.
